

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1334

By: Humphrey

AS INTRODUCED

An Act relating to public retirement systems; amending 74 O.S. 2021, Sections 1316.2, as amended by Section 5, Chapter 245, O.S.L. 2024, and 1316.3 (74 O.S. Supp. 2024, Section 1316.2), which relate to insurance benefits; modifying the monthly premium amount for health insurance; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 74 O.S. 2021, Section 1316.2, as amended by Section 5, Chapter 245, O.S.L. 2024 (74 O.S. Supp. 2024, Section 1316.2), is amended to read as follows:

Section 1316.2. A. Any employee, other than an education employee, who retires pursuant to the provisions of the Oklahoma Public Employees Retirement System or who has a vested benefit pursuant to the provisions of the Oklahoma Public Employees Retirement System may continue in force the health and dental insurance benefits authorized by the provisions of the Oklahoma Employees Insurance and Benefits Act, or other employer insurance benefits if the employer does not participate in the plans offered

1 by the Office of Management and Enterprise Services, if such
2 election to continue in force is made within thirty (30) days from
3 the date of termination of service. Except as otherwise provided
4 for in subsection H of this section, health and dental insurance
5 coverage may not be reinstated at a later time if the election to
6 continue in force is declined. Vested employees other than
7 education employees who have terminated service and are not
8 receiving benefits and effective July 1, 1996, nonvested persons who
9 have terminated service with more than eight (8) years of
10 participating service with a participating employer, who within
11 thirty (30) days from the date of termination of service elect to
12 continue such coverage, shall pay the full cost of the insurance
13 premium at the rate and pursuant to the terms and conditions
14 established by the Office. Provided also, any employee other than
15 an education employee who commences employment with a participating
16 employer on or after September 1, 1991, who terminates service with
17 such employer on or after July 1, 1996, but who otherwise has
18 insufficient years of service to retire or terminate service with a
19 vested benefit pursuant to the provisions of the Oklahoma Public
20 Employees Retirement System or to elect to continue coverage as a
21 nonvested employee as provided in this section, but who, immediately
22 prior to employment with the participating employer, was covered as
23 a dependent on the health and dental insurance policy of a spouse
24 who was an active employee other than an education employee, may

1 count as part of his or her credited service for the purpose of
2 determining eligibility to elect to continue coverage under this
3 section, the time during which the terminating employee was covered
4 as such a dependent.

5 B. 1. Health insurance benefit plans offered pursuant to this
6 section shall include:

- 7 a. indemnity plans offered through the Office,
- 8 b. managed care plans offered as alternatives to the
9 indemnity plans offered through the Office,
- 10 c. Medicare supplements offered pursuant to the Oklahoma
11 Employees Insurance and Benefits Act,
- 12 d. Medicare risk-sharing contracts offered as
13 alternatives to the Medicare supplements offered
14 through the Office. All Medicare risk-sharing
15 contracts shall be subject to a risk adjustment
16 factor, based on generally accepted actuarial
17 principles for adverse selection which may occur, and
18 e. for the Oklahoma Public Employees Retirement System,
19 other employer-provided health insurance benefit plans
20 if the employer does not participate in the plans
21 offered pursuant to the Oklahoma Employees Insurance
22 and Benefits Act.

23 2. Health insurance benefit plans offered pursuant to this
24 section shall provide prescription drug benefits, except for plans

1 designed pursuant to the Medicare Prescription Drug Improvement and
2 Modernization Act, pursuant to 42 USCA Section 1395w-101, et seq.,
3 for which provision of prescription drug benefits is optional, and
4 except for plans offered pursuant to subparagraph e of paragraph 1
5 of this subsection.

6 C. 1. Designated public retirement systems shall contribute a
7 monthly amount towards the health insurance premium of certain
8 individuals receiving benefits from the public retirement system as
9 follows:

10 a. a retired employee, other than an education employee
11 or an employee who participates in the defined
12 contribution system administered by the Oklahoma
13 Public Employees Retirement System on or after
14 November 1, 2015, who is receiving benefits from the
15 Oklahoma Public Employees Retirement System ~~after~~
16 ~~September 30, 1988,~~ on the effective date of this act
17 shall have ~~One Hundred Five Dollars (\$105.00)~~ Two
18 Hundred Ten Dollars (\$210.00), or the premium rate of
19 the health insurance benefit plan, whichever is less,
20 paid by the Oklahoma Public Employees Retirement
21 System to the Board or to another insurance carrier or
22 other qualified benefits administrator of the employer
23 if the employer does not participate in the plans
24

1 offered by the Office in the manner specified in
2 subsection G of this section,

3 b. a retired employee or surviving spouse other than an
4 education employee who is receiving benefits from the
5 Oklahoma Law Enforcement Retirement System ~~after~~
6 ~~September 30, 1988,~~ on the effective date of this act
7 is under sixty-five (65) years of age and is not
8 otherwise eligible for Medicare shall have the premium
9 rate for the health insurance benefit plan or ~~One~~
10 ~~Hundred Five Dollars (\$105.00)~~ Two Hundred Ten Dollars
11 (\$210.00), whichever is less, paid by the Oklahoma Law
12 Enforcement Retirement System to the Office in the
13 manner specified in subsection G of this section,

14 c. a retired employee other than an education employee
15 who is receiving benefits from the Oklahoma Law
16 Enforcement Retirement System ~~after September 30,~~
17 ~~1988,~~ on the effective date of this act is sixty-five
18 (65) years of age or older or who is under sixty-five
19 (65) years of age and is eligible for Medicare shall
20 have ~~One Hundred Five Dollars (\$105.00)~~ Two Hundred
21 Ten Dollars (\$210.00), or the premium rate of the
22 health insurance benefit plan, whichever is less, paid
23 by the Oklahoma Law Enforcement Retirement System to
24

1 the Office in the manner specified in subsection G of
2 this section, and

- 3 d. a retired employee other than an education employee
4 who is receiving benefits from the Uniform Retirement
5 System for Justices and Judges ~~after September 30,~~
6 ~~1988,~~ on the effective date of this act shall have ~~One~~
7 ~~Hundred Five Dollars (\$105.00)~~ Two Hundred Ten Dollars
8 (\$210.00), or the premium rate of the health insurance
9 plan, whichever is less, paid by the Uniform
10 Retirement System for Justices and Judges to the
11 Office in the manner specified in subsection G of this
12 section.

13 2. Premium payments made pursuant to this section shall be made
14 subject to the following conditions:

- 15 a. the health plan shall be authorized by the provisions
16 of the Oklahoma Employees Insurance and Benefits Act,
17 except that if an employer from which an employee
18 retired or with a vested benefit pursuant to the
19 provisions of the Oklahoma Public Employees Retirement
20 System does not participate in the plans authorized by
21 the provisions of the Oklahoma Employees Insurance and
22 Benefits Act, the health plan will be the health
23 insurance benefits of the employer from which the
24 individual retired or vested,

1 b. for plans offered by the Oklahoma Employees Insurance
2 and Benefits Act, the amount to be paid shall be
3 determined pursuant to the provisions of this
4 subsection and shall first be applied in whole or in
5 part to the prescription drug coverage premium. Any
6 remaining amount shall be applied toward the medical
7 coverage premium,

8 c. for all plans, if the amount paid by the public
9 retirement system does not cover the full cost of the
10 elected coverage, the individual shall pay the
11 remaining premium amount, and

12 d. payment shall be made by the retirement systems in the
13 manner specified under subsection G of this section.

14 D. For any member of the Oklahoma Law Enforcement Retirement
15 System killed in the line of duty, whether the member was killed in
16 the line of duty prior to May 18, 2005, or on or after May 18, 2005,
17 or if the member was on a disability leave status at the time of
18 death, the surviving spouse or dependents of such deceased member of
19 the Oklahoma Law Enforcement Retirement System may elect to continue
20 or commence health and dental insurance benefits, provided the
21 dependents pay the full cost of such insurance, and for deaths
22 occurring on or after July 1, 2002, such election is made within
23 thirty (30) days of the date of death. The eligibility for the
24

1 benefits shall terminate for the surviving children when the
2 children cease to qualify as dependents.

3 E. Effective July 1, 2004, a retired member of the Oklahoma Law
4 Enforcement Retirement System who retired from the System by means
5 of a personal and traumatic injury of a catastrophic nature and in
6 the line of duty and any surviving spouse of such retired member and
7 any surviving spouse of a member who was killed in the line of duty
8 shall have one hundred percent (100%) of the retired member's or
9 surviving spouse's health care premium cost, whether the member or
10 surviving spouse elects coverage under the Medicare supplement or
11 Medicare risk-sharing contract, paid by the Oklahoma Law Enforcement
12 Retirement System to the Office in the manner specified in
13 subsection H of this section. For plans offered by the Office, such
14 contributions will first be applied in whole or in part to the
15 prescription drug coverage premium, if any.

16 F. Dependents of a deceased employee who was on active work
17 status or on a disability leave at the time of death or of a
18 participating retardant or of any person who has elected to receive
19 a vested benefit under the Oklahoma Public Employees Retirement
20 System, the Uniform Retirement System for Justices and Judges or the
21 Oklahoma Law Enforcement Retirement System may continue the health
22 and dental insurance benefits in force, provided the dependents pay
23 the full cost of such insurance and they were covered as eligible
24 dependents at the time of such death and such election is made

1 within thirty (30) days of date of death. The eligibility for the
2 benefits shall terminate for the surviving children when the
3 children cease to qualify as dependents.

4 G. The amounts required to be paid by the Oklahoma Public
5 Employees Retirement System, the Uniform Retirement System for
6 Justices and Judges and the Oklahoma Law Enforcement Retirement
7 System pursuant to this section shall be forwarded no later than the
8 tenth day of each month following the month for which payment is due
9 by the Oklahoma Public Employees Retirement System Board of Trustees
10 or the Oklahoma Law Enforcement Retirement Board to the Office for
11 deposit in the Health, Dental and Life Insurance Reserve Fund or to
12 another insurance carrier or other administrator of qualified
13 benefits of the employer as provided for in subsection H of Section
14 1315 of this title.

15 H. Upon retirement from employment of the Board of Regents of
16 the University of Oklahoma, any person who was or is employed at the
17 George Nigh Rehabilitation Institute and who transferred employment
18 pursuant to Section 3427 of Title 70 of the Oklahoma Statutes, any
19 person who was employed at the Medical Technology and Research
20 Authority and who transferred employment pursuant to Section 7068 of
21 this title and any person who is a member of the Oklahoma Law
22 Enforcement Retirement System pursuant to the authority of Section
23 2-314 of Title 47 of the Oklahoma Statutes may participate in the
24 benefits authorized by the provisions of the Oklahoma Employees

1 Insurance and Benefits Act for retired participants including
2 health, dental and life insurance benefits, if such election to
3 participate is made within thirty (30) days from the date of
4 termination of service. Life insurance benefits for any such person
5 who transferred employment shall not exceed the coverage the person
6 had at the time of such transfer. Retirees who transferred
7 employment and who participate pursuant to this paragraph shall pay
8 the premium for elected benefits less any amounts paid by a state
9 retirement system pursuant to this section.

10 SECTION 2. AMENDATORY 74 O.S. 2021, Section 1316.3, is
11 amended to read as follows:

12 Section 1316.3. A. Any person who retires pursuant to the
13 provisions of the Teachers' Retirement System of Oklahoma with at
14 least ten (10) years of creditable service or who has a vested
15 benefit with at least ten (10) years of creditable service, pursuant
16 to the provisions of the Teachers' Retirement System of Oklahoma may
17 continue in force the health and dental insurance benefits
18 authorized by the provisions of the Oklahoma Employees Insurance and
19 Benefits Act if such election to continue in force or begin is made
20 within thirty (30) days from the date of termination of service.
21 Except as provided in subsection E of Sections 5-117.5 and 14-108.1
22 of Title 70 of the Oklahoma Statutes and Section 840-2.27I of this
23 title and subsection K of this section, health and dental insurance
24 coverage may not be reinstated at a later time if the election to

1 continue in force or begin coverage is declined. Vested persons who
2 have terminated service and are not receiving benefits and effective
3 July 1, 1996, nonvested persons who have terminated service with
4 more than ten (10) years of participating service with a qualifying
5 employer, who within thirty (30) days from the date of termination
6 of service, elect to continue such coverage, shall pay the full cost
7 of said insurance premium at the rate and pursuant to the terms and
8 conditions established by the Office of Management and Enterprise
9 Services.

10 B. 1. Health insurance benefit plans offered pursuant to this
11 section shall include:

- 12 a. indemnity plans offered through the Office,
- 13 b. managed care plans offered as alternatives to the
14 indemnity plans,
- 15 c. Medicare supplements offered through the Office,
- 16 d. Medicare risk-sharing contracts offered as
17 alternatives to the Medicare supplements offered
18 through the Office, and
- 19 e. any other employer-provided health insurance benefit
20 plans if the employer does not participate in the
21 plans offered pursuant to the Oklahoma Employees
22 Insurance and Benefits Act.

23 2. Health insurance benefit plans offered pursuant to this
24 section shall provide prescription drug benefits, except for plans

1 designed pursuant to the Medicare Prescription Drug Improvement and
2 Modernization Act of 2003, which may or may not contain prescription
3 drug benefits, for which provision of prescription drug benefits is
4 optional, and except for plans offered pursuant to subparagraph e of
5 paragraph 1 of this subsection.

6 C. A retired person who:

7 1. Is receiving benefits from the Teachers' Retirement System
8 of Oklahoma after September 30, 1988, is under sixty-five (65) years
9 of age and is not otherwise eligible for Medicare and pursuant to
10 subsection A of this section elects to begin or to continue the
11 health insurance plan;

12 2. Is receiving benefits from the Teachers' Retirement System
13 of Oklahoma after June 30, 1993, is under sixty-five (65) years of
14 age and is not otherwise eligible for Medicare and participates in a
15 health insurance plan provided by a participating education employer
16 of the Teachers' Retirement System of Oklahoma other than a health
17 insurance plan offered pursuant to the Oklahoma Employees Insurance
18 and Benefits Act or an alternative health plan offered pursuant to
19 the Oklahoma State Employees Benefits Act;

20 3. Is receiving benefits from the Teachers' Retirement System
21 of Oklahoma after September 30, 1988, made contributions to the
22 system and is sixty-five (65) years of age or older, or who is under
23 sixty-five (65) years of age and is eligible for Medicare and is a
24 participant in the Oklahoma Employees Insurance and Benefits Act and

1 elects coverage under the Medicare supplement offered by the Office;
2 or

3 4. Is receiving benefits from the Teachers' Retirement System
4 of Oklahoma after June 30, 1993, made contributions to the system
5 and is sixty-five (65) years of age or older, or who is under sixty-
6 five (65) years of age and is eligible for Medicare and participates
7 in a health insurance plan provided by a participating education
8 employer of the Teachers' Retirement System of Oklahoma other than a
9 health insurance plan offered pursuant to the Oklahoma Employees
10 Insurance and Benefits Act or an alternative health plan offered
11 pursuant to the Oklahoma State Employees Benefits Act and elects
12 coverage under the Medicare supplement offered by the Office,
13 shall have the amount determined pursuant to subsection E of this
14 section, or the premium rate of the health insurance benefit plan,
15 whichever is less, paid by the Teachers' Retirement System of
16 Oklahoma. If the amount paid by the Teachers' Retirement System of
17 Oklahoma does not cover the full cost of the health insurance
18 premium, the retired person shall pay the remaining amount if the
19 retired person wants to continue the coverage.

20 D. The Teachers' Retirement System shall pay the amount due
21 pursuant to the provisions of subsection C of this section as
22 follows:

23 1. For those individuals participating in plans provided
24 through the Oklahoma Employees Insurance and Benefits Act, payment

shall be made to the Office pursuant to the provisions of subsection I of this section; or

2. For those individuals participating in plans provided through a participating education employer of the Teachers' Retirement System of Oklahoma other than a health insurance plan offered pursuant to the Oklahoma Employees Insurance and Benefits Act, payment shall be made to the education employer.

E. Beginning ~~July 1, 2000~~ November 1, 2025, the maximum benefit payable by the Teachers' Retirement System of Oklahoma on behalf of a retired person toward said person's monthly premium for health insurance shall be determined in accordance with the following schedule:

	LESS THAN		
	25 YEARS BUT GREATER		
	LESS THAN	GREATER THAN	THAN 24.99
AVERAGE SALARY	15 YEARS OF	14.99 YEARS OF	YEARS OF
USED FOR DETERMINING	CREDITABLE	CREDITABLE	CREDITABLE
RETIREMENT ALLOWANCE	SERVICE	SERVICE	SERVICE
Less than \$20,000.00	\$103.00	\$104.00	\$105.00
Less than \$30,000.00 but			
greater than \$19,999.99	\$102.00	\$103.00	\$104.00
Less than \$40,000.00 but			
greater than \$29,999.99	\$101.00	\$102.00	\$103.00
\$40,000.00 or greater	\$100.00	\$101.00	\$102.00

1			<u>LESS THAN</u>	
2			<u>25 YEARS BUT</u>	<u>GREATER</u>
3		<u>LESS THAN</u>	<u>GREATER THAN</u>	<u>THAN 24.99</u>
4	<u>AVERAGE SALARY</u>	<u>15 YEARS OF</u>	<u>14.99 YEARS OF</u>	<u>YEARS OF</u>
5	<u>USED FOR DETERMINING</u>	<u>CREDITABLE</u>	<u>CREDITABLE</u>	<u>CREDITABLE</u>
6	<u>RETIREMENT ALLOWANCE</u>	<u>SERVICE</u>	<u>SERVICE</u>	<u>SERVICE</u>
7	<u>Less than \$20,000.00</u>	<u>\$206.00</u>	<u>\$208.00</u>	<u>\$210.00</u>
8	<u>Less than \$30,000.00 but</u>			
9	<u>greater than \$19,999.99</u>	<u>\$204.00</u>	<u>\$206.00</u>	<u>\$208.00</u>
10	<u>Less than \$40,000.00 but</u>			
11	<u>greater than \$29,999.99</u>	<u>\$202.00</u>	<u>\$204.00</u>	<u>\$206.00</u>
12	<u>\$40,000.00 or greater</u>	<u>\$200.00</u>	<u>\$202.00</u>	<u>\$204.00</u>

13 For plans offered by the Office, the amount paid pursuant to
14 this subsection shall first be applied to the prescription drug
15 coverage premium, if any. Any remaining amounts shall be applied
16 towards the medical coverage premium.

17 F. If a person retires and begins to receive benefits from the
18 Teachers' Retirement System of Oklahoma or terminates service and
19 has a vested benefit with the Teachers' Retirement System of
20 Oklahoma, the person may elect, in the manner provided in subsection
21 A of this section, to participate in the dental insurance plan
22 offered through the Oklahoma Employees Insurance and Benefits Act.
23 The person shall pay the full cost of the dental insurance.

24

1 G. Those persons who are receiving benefits from the Teachers'
2 Retirement System of Oklahoma and have health insurance coverage
3 which on the operative date of this section is being paid by the
4 education entity from which the person retired shall make the
5 election required in subsection A of this section within thirty (30)
6 days of the termination of said health insurance coverage. The
7 person making the election shall give the Office certified
8 documentation satisfactory to the Office of the termination date of
9 the other health insurance coverage.

10 H. Dependents of a deceased education employee who was on
11 active work status or on a disability leave at the time of death or
12 of a participating retirant or of any person who has elected to
13 receive a vested benefit under the Teachers' Retirement System of
14 Oklahoma may continue the health and dental insurance benefits in
15 force provided said dependents pay the full cost of such insurance
16 and they were covered as eligible dependents at the time of such
17 death and such election is made within thirty (30) days of date of
18 death. The eligibility for said benefits shall terminate for the
19 surviving children when said children cease to qualify as
20 dependents.

21 I. The amounts required to be paid by the Teachers' Retirement
22 System of Oklahoma pursuant to this section shall be forwarded no
23 later than the tenth day of each month following the month for which
24 payment is due by the Board of Trustees of the Teachers' Retirement

1 System of Oklahoma to the Office for deposit in the Education
2 Employees Group Insurance Reserve Fund.

3 J. The Teachers' Retirement System of Oklahoma shall provide
4 the Office information concerning the employers of retired and
5 vested members necessary to allow the Office to track eligibility
6 for continued coverage.

7 K. Upon retirement from employment with the Board of Regents of
8 the University of Oklahoma, any person who is or was employed at the
9 George Nigh Rehabilitation Institute and who transferred employment
10 pursuant to Section 3427 of Title 70 of the Oklahoma Statutes, any
11 person who was employed at the Medical Technology and Research
12 Authority and who transferred employment pursuant to Section 7068 of
13 this title, and any person who is a member of the Oklahoma Law
14 Enforcement Retirement System pursuant to the authority of Section
15 2-314 of Title 47 of the Oklahoma Statutes may participate in the
16 benefits authorized by the provisions of the Oklahoma Employees
17 Insurance and Benefits Act for retired participants, including
18 health, dental and life insurance benefits, if such election to
19 participate is made within thirty (30) days from the date of
20 termination of employment. Life insurance benefits for any such
21 person who transferred employment shall not exceed the coverage the
22 person had at the time of such transfer. Retirees who are persons
23 transferred employment and who participate pursuant to this
24

paragraph shall pay the premium for elected benefits less any
amounts paid by the retirement system pursuant to this section.

SECTION 3. This act shall become effective November 1, 2025.

60-1-10048 CMA 01/02/25

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January 13, 2025

Representative Humphrey

Room 301S

Re: RBH No. 10048

RBH No. 10048 doubles the medical supplement benefit for all the State's retirement systems retired participants. Currently the benefit is \$105. 00 per month for most participants. Teachers have a schedule of payment based on service and benefit.

RBH No. 10048 is a fiscal bill as defined by OPLAAA.

I am a member of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion herein.

Thomas E. Cummins

Thomas E. Cummins, MAAA